

KARNATAKA REAL ESTATE (REGULATION AND DEVELOPMENT) RULES, 2016

PREAMBLE

In exercise of the powers conferred by subsection (1) of section 84 of the Real Estate (Regulation and Development) Act, 2016 (Central Act 16 of 2016), the Government of Karnataka, hereby makes the following rules, namely:

CHAPTER I

PRELIMINARY

Rule - 1. Title and Commencement.--

- (1) These rules may be called the Karnataka Real Estate (Regulation and Development) Rules, 2016.
- (2) They shall come into force from the date of their publication in the Official Gazette.

Rule - 2. Definitions.--

- (1) In these rules, unless the context otherwise requires,
 - (a) "Act" means the Real Estate (Regulation and Development) Act, 2016 (Central Act 16 of 2016);
 - (b) "Annexure" means an annexure appended to these rules;
 - (c) "Authenticated copy" shall mean a selfattested copy of any document required to be provided by any person under these rules;
 - (d) "Bangalore Metropolitan Region" means, the Bangalore Metropolitan Region as defined in clause (c) of section 2 of the Bangalore Metropolitan Region Development Authority Act, 1985 (Karnataka Act 39 of 1985);
 - (e) "Cooperative Society" means a society registered or deemed to be registered under the Karnataka Cooperative societies Act, 1959 (Karnataka Act 11 of 1959);
 - (f) "Form" means a form appended to these rules;
 - (g) "Layout plan" means a plan of the project depicting the division or proposed division of land into plots, roads, open spaces, amenities, etc. and other details as may be necessary;
 - (h) "Project land" means any piece or parcels of land on which the project is developed and constructed by a promoter; and
 - (i) "Section" means a section of the Act.

(2) Words and expressions used herein and not defined, but defined in the Act, shall have the same meaning respectively assigned to them in the Act.

CHAPTER II

REAL ESTATE PROJECT

Rule - 3. Information and documents to be furnished by the promoter for registration of project.--

(1) The promoter shall furnish the following additional information and documents, along with those specified in subsection (2) of Section 4 for registration of the real estate project with the regulatory authority namely:

- (a) authenticated copy of the PAN card of the promoter;
- (b) audited balance sheet of the promoter for the preceeding financial year and income tax returns of the promoter for three preceeding financial years;
- (c) the number of open parking areas available in the said real estate project;
- (d) copy of the legal title deed reflecting the title of the promoter to the land on which development is proposed to be developed along with legally valid documents with authentication of such title, if such land is owned by another person;
- (e) the details of encumbrances on the land on which development is proposed including any rights, title, interest or name of any party in or over such land along with details;
- (f) where the promoter is not the owner of the land on which development is proposed details of the consent of the owner of the land along with a copy of the collaboration agreement, development agreement, joint development agreement or any other agreement, as the case may be, entered into between the promoter and such owner and copies of title and other documents reflecting the title of such owner on the land proposed to be developed; and
- (g) such other information and documents, as may be specified by regulations.

(2) The declaration to be submitted under clause (I) of subsection (2) of section 4, shall be in FormA, which shall include a declaration stating that the promoter shall not discriminate against any allottee at the time of allotment of any apartment, plot or building, as the case may be.

Rule - 4. Disclosure by promoters of existing projects.--

(1) Upon the notification for commencement of subsection (1) of section 3, promoters of all ongoing projects which have not received completion certificate shall, within the time specified in the said subsection, make an application to the Regulatory Authority in the form and manner as specified in rule 3.

(2) The promoter shall disclose all project details as required under the Act and the rules and

regulations made there under, including the status of the project and the extent of completion.

(3) The promoter shall disclose the size of the apartment based on carpet area even if earlier sold on any other basis such as super area, super built up area, built up area etc. which shall not affect the validity of the agreement entered into between the promoter and the allottee to that extent.

(4) In case of plotted development the promoter shall disclose the area of the plot being sold to the allottees.

Rule - 5. Withdrawal of sums deposited in separate account.--

(1) For the purposes of subclause (D) of clause (I) of subsection (2) of section 4, the land cost shall be the cost incurred by the promoter, whether as an outright purchase, lease charges etc.

(2) For the purposes of subclause (D) of clause (I) of subsection (2) of section 4, the construction cost shall be the cost incurred by the promoter, towards the onsite expenditure for the physical development of the project.

Rule - 6. Grant or rejection of registration of the project.--

(1) Upon the registration of a project as per section 5 read with rule 3, the Regulatory Authority shall issue a registration certificate with a registration number in FormB to the promoter.

(2) The application for extension of registration shall be accompanied with a demand draft drawn on any scheduled bank or a cooperative Bank, for an amount equivalent to twice the registration fee along with an explanatory note setting out the reasons for delay in the completion of the project and the need for extension of registration for the project, along with documents supporting such reasons:

Provided that where extension of registration is due to force majeure the regulatory authority may at its discretion waive the fee for extension of registration.

Rule - 7. Revocation of registration of the project.--

Upon the revocation of registration of a project under section 7 regulatory authority shall inform the promoter about such revocation in FormC.

Rule - 8. Agreement for sale.--

(1) For the purpose of subsection (2) of section 13, the agreement for sale shall be in the form as per AnnexureA.

(2) Any application letter, allotment letter or any other document signed by the allottee, in respect of the apartment, plot or building, prior to the execution and registration of the agreement for sale for such apartment, plot or building, as the case may be, shall not be construed to limit the rights and interests of the allottee under the agreement for sale or under the Act or the rules or the regulations made there under.

CHAPTER III

REAL ESTATE AGENT

Rule - 9. Application for registration by the real estate agent.--

(1) Every real estate agent required to register as per subsection (2) of section 9 shall make an application in writing to the Regulatory Authority in FormD along with the following documents, namely:

(a) brief details of his enterprise including its name, registered address, type of enterprise, proprietorship, societies, cooperative society, partnership, companies etc;

(b) particulars of registration including the byelaws, memorandum of association, articles of association etc. as the case may be;

(c) photograph of the real estate agent if it is an individual and the photograph of the partners, directors etc. in case of other entities;

(d) authenticated copy of the PAN card;

(e) income tax returns filed under the provisions of the Income Tax Act, 1961 for three financial years preceeding the application or in case the applicant was exempted from filing returns under the provisions of the Income Tax Act, 1961 for any of the three year preceeding the application, a declaration to such effect;

(f) authenticated copy of the address proof of the place of business; and

(g) such other information and documents, as may be specified by regulations.

(2) The real estate agent shall pay a registration fee at the time of application for registration by way of a demand draft drawn on any scheduled bank or a cooperative Bank as detailed below namely:

(a) within the jurisdiction of the Bangalore Metropolitan Region Development Authority, rupees fifty thousand in case of Real Estate Agent being an individual, rupees five lakhs in case of the Real Estate Agent being anyone other than an individual; and

(b) within the jurisdiction of any planning area outside the jurisdiction of the Bangalore Metropolitan Region Development Authority, rupees twenty five thousand in case of the applicant being individual; rupees two lakhs and fifty thousand in case of the applicant being anyone other than an individual.

Rule - 10. Grant of Registration to the real estate agent.--

(1) Upon the registration of a real estate agent under section 9 read with rule 9, the Regulatory Authority shall issue a registration certificate with a registration number in FormE to the real estate agent.

(2) In case of rejection of the application under section 9, the Regulatory Authority shall inform the applicant in FormF.

(3) The registration granted under this rule shall be valid for a period of five years.

Rule - 11. Renewal of registration of real estate agent.--

(1) The registration granted under section 9, may be renewed as per section 6, on an application made by the real estate agent in FormG which shall not be less than three months prior to the expiry of the registration granted.

(2) The application for renewal of registration shall be accompanied with a demand draft drawn on any scheduled bank or a cooperative Bank as detailed below namely,

(a) within the jurisdiction of Bangalore Metropolitan Region Development Authority, rupees twenty five thousand in case of Real Estate Agent being an individual, rupees two lakhs and fifty thousand in case of the Real Estate Agent being anyone other than an individual;

(b) within the jurisdiction of any planning area outside the jurisdiction of Bangalore Metropolitan Region Development Authority, rupees fifteen thousand in case of the applicant being individual; rupees one lakhs and fifty thousand in case of the applicant being anyone other than an individual.

(3) The real estate agent shall also submit all the updated documents set out in clauses (a) to (f) of rule 9 at the time of application for renewal along with same fees prescribed as in sub rule (2).

(4) In case of renewal of registration, the regulatory authority shall inform the real estate agent about the same in FormH and in case of rejection of the application for renewal of registration the regulatory authority, shall inform the real estate agent in FormF.

(5) The renewal of registration of the real estate agent shall be granted provided that the real estate agent remains in compliance with the provisions of the Act and the rules and regulations made there under.

(6) The renewal granted under this rule shall be valid for a period five years.

Rule - 12. Revocation of registration of real estate agent.--

The Regulatory Authority may, due to reasons specified under subsection (7) of section 9, revoke the registration granted to the real estate agent or renewal thereof, as the case may be, and intimate the real estate agent of such revocation in FormF.

Rule - 13. Maintenance and preservation of books of accounts, records and documents.--

The real estate agent shall maintain and preserve books of account, records and documents in accordance with the provisions of the Income Tax Act, 1961.

Rule - 14. Other functions of a real estate agent.--

The real estate agent shall provide assistance to enable the allottee and promoter to exercise their

respective rights and fulfill their respective obligations at the time of booking and sale of any plot, apartment or building, as the case may be.

CHAPTER IV

DETAILS TO BE PUBLISHED ON THE WEBSITE OF THE AUTHORITY

Rule - 15. Details to be published on the website.--

(1) For the purpose of clause (b) of section 34, the regulatory authority shall ensure that the following information shall be made available on its website in respect of each project registered, namely:

(A) Details of the promoter including the following:

(i) Developer or Group Profile:

(a) a brief detail of his enterprise including its name, registered address, type of enterprise, proprietorship, limited liability partnership, societies, cooperative society, partnership, company, competent authority and the particulars of registration and in case of a newly incorporated or registered entity, brief details of the parent entity including its name, registered address, type of enterprise (proprietorship, societies, cooperative society, limited liability partnership, partnership, companies, competent authority);

(b) Background of promoter educational qualification, work experience and in case of a newly incorporated or registered entity work experience of the parent entity.

(ii) Track record of the promoter:

(a) number of years of experience of the promoter or parent entity in real estate construction in the state or union territory;

(b) number of years of experience of the promoter or parent entity in real estate construction in other states or union territories;

(c) number of completed projects and area constructed till date;

(d) number of ongoing projects and proposed area to be constructed;

(e) details and profile of ongoing and completed projects for the last five years as provided under clause (b) of subsection (2) of section 4.

(iii) Litigations: Details of past or ongoing litigations in relation to the real estate project.

(iv) Website:

(a) Web link to the developer or group website; and

(b) Web link to the project website.

(B) Details of the real estate project including the following:

(i) Compliance and registration:

(a) authenticated copy of the approvals and commencement certificate from the competent authority as provided under clause (c) of subsection (2) of section 4;

(b) the sanctioned plan, layout plan and specifications of the project or the phase thereof, and the whole project as sanctioned by the competent authority as provided under clause (d) of subsection (2) of section 4; and

(c) Details of the registration granted by the Authority.

(ii) Apartment and garage related details:

(a) Details of the number, type and carpet area of apartments for sale in the project as provided under clause (h) of subsection (2) of section 4;

(b) Details of the number and areas of garage for sale in the project as provided under clause (i) of subsection (2) of section 4; and

(c) Details of the number of open parking areas available in the real estate project.

(iii) Registered Agents: Names and addresses of real estate agents as provided under clause (j) of subsection (2) of section 4.

(iv) Consultants: Details, including name and addresses of contractors, architect and structural engineers and other persons concerned with the development of the real estate project as provided under clause (k) of subsection (2) of section 4, such as:

(a) name and address of the firm;

(b) names of promoters;

(c) year of establishment; and

(d) names and profile of key projects completed.

(v) Location: the location details of the project, with clear demarcation of land dedicated for the project along with its boundaries including the latitude and longitude of the end points of the project as provided under clause (f) of subsection (2) of section 4 of the Act.

(vi) Development Plan:

(a) The plan of development works to be executed in the proposed project and the proposed facilities to be provided thereof including fire fighting facilities, drinking water facilities, emergency evacuation services, use of renewable energy etc. as provided under clause (e) of subsection (2) of section 4;

(b) Amenities: a detailed note explaining the salient features of the proposed project including access to the project, design for electric supply including street lighting, water supply arrangements and site for disposal and treatment of storm and sullage water, any other facilities and amenities or public health services proposed to be provided in the project; and

(c) Gantt Charts and Project schedule: the plan of development works to be executed in the project and the details of the proposed facilities to be provided thereof.

(C) Financials of the promoter:

(i) Authenticated copy of the PAN card of the promoter; and

(ii) Audited balance sheet of the promoter for the preceeding financial year and income tax returns of the promoter for three preceeding financial years and in case of a newly incorporated or registered entity annual returns of the last three financial years of the parent entity.

(D) The promoter shall upload the following updates on the webpage for the project, within seven days from the expiry of each quarter:

(i) List of number and types of apartments or plots, as the case may be booked;

(ii) List of number of garages booked;

(iii) Status of the project:

(a) status of construction of each building with photographs;

(b) status of construction of each floor with photographs; and

(c) status of construction of internal infrastructure and common areas with photographs.

(iv) Status of approvals:

(a) approval received;

(b) approvals applied and expected date of receipt;

(c) approvals to be applied and date planned for application;

(d) modifications, amendment or revisions, if any, issued by the competent authority with regard to any license, permit or approval for the project; and

(e) downloads:

(v) Approvals:

(V.1) No Objection certificates

(a) Consent to Establish and Operate;

(b) Environmental Clearance;

(c) No Objection Certificate (NOC), Fire Department;

(d) Permission from Water and Sewerage department;

(e) Height clearance from Airport Authority of India; and

(f) Such other approvals as may be required and obtained for the project.

(V.2) Authenticated copy of the license or land use permission, building sanction plan and the commencement certificate from the competent authority obtained in accordance with the laws applicable for the project, and where the project is proposed to be developed in phases, an authenticated copy of the license or land use permission, building sanction plan and the commencement certificate for each of such phases;

(V.3) Authenticated copy of the site plan or site map showing the location of the project land along with names of survey numbers, khatha numbers and area of each parcels of the project land;

(V.4) Authenticated copy of the layout plan of the project or the phase thereof, and also the layout plan of the whole project as sanctioned by the competent authority;

(V.5) Floor plans for each tower and block including clubhouse, amenities and common areas;

(v.6) Any other permission, approval, or licence that may be required under applicable law; and

(V.7) Authenticated copy of occupancy certificate and completion certificate including its application.

(vi) Legal Documents:

(a) details including the proforma of the application form, allotment letter, agreement for sale and the conveyance deed;

(b) authenticated copy of the legal title deed reflecting the title of the promoter to the land on which development is proposed to be developed along with legally valid documents with authentication of such title, if such land is owned by another person;

(c) Land Title Search Report from an advocate having experience of at least ten years in land related matters;

(d) details of encumbrances on the land on which development is proposed including any rights, title, interest or name of any party in or over such land along with details or no encumbrance certificate from the concerned subregistrar of atleast twelve years in land related matters;

(e) where the promoter is not the owner of the land on which development is proposed details of the consent of the owner of the land along with a copy of the collaboration agreement, development agreement, joint development agreement or any other agreement, as the case may be, entered into between the promoter and such owner and copies of title and other documents reflecting the title of such owner on the land proposed to be developed;

(f) Sanction letters:

(a) from banks for construction finance;

(b) from banks for home loan tieups.

(c) Contact details: Contact address, contact numbers and emailids of the promoter and other officials handling the project; and

(d) Such other documents or information as may be specified by the Act or the rules and regulations made there under.

(2) For the purpose of clause (c) of section 34, the regulatory authority shall maintain a database and ensure that the information specified therein shall be made available on its website in respect of each project revoked or penalised, as the case may be.

(3) For the purpose of clause (d) of section 34, the regulatory authority shall ensure that the following information shall be made available on its website in respect of each real estate agent registered with it or whose application for registration has been rejected or revoked:

(a) For real estate agents registered with the Authority:

(i) registration number and the period of validity of the registration of the real estate agent with the regulatory authority;

(ii) brief details of his enterprise including its name, registered address, type of enterprise, proprietorship, societies, cooperative society, partnership, companies etc;

(iii) particulars of registration including the byelaws, memorandum of association, articles of association etc. as the case may be;

(iv) photograph of the real estate agent if it is an individual and the photograph of the partners, directors etc. in case of other persons;

(v) authenticated copy of the PAN card; and

(vi) income tax returns filed under the provisions of the Income Tax Act, 1961 for three financial years preceding the application or in case the applicant was exempted from filing returns under the provisions of the Income Tax Act, 1961 for any of the three years preceding the application, a declaration to such effect;

(vii) Authenticated copy of the address proof of the place of business and the contact address, contact numbers and emailids of the real estate agent and other officials responsible.

(b) In case of applicant whose application for registration as a real estate agent has been rejected or real estate agent whose registration has been revoked by the regulatory authority:

(i) registration number and the period of validity of the registration of the real estate agent with the regulatory authority;

(ii) brief details of his enterprise including its name, registered address, type of enterprise, proprietorship, societies, cooperative society partnership, companies etc; and

(iii) Photograph of the real estate agent if it is an individual and the photograph of the partners, directors etc. in case of other persons.

(c) Such other documents or information as may be specified by the Act or the rules and regulations made there under.

(4) The Authority shall maintain a backup, in digital form, of the contents of its website in terms of

this rule, and ensure that such backup is updated on the last day of each month.

CHAPTER V

RATE OF INTEREST PAYABLE BY PROMOTER AND ALLOTTEE AND TIMELINES FOR REFUND

Rule - 16. Rate of interest payable by the promoter and the allottee.--

The rate of interest payable by the promoter to the allottee or by the allottee to the promoter, as the case may be, shall be the State Bank of India Prime lending rate plus two percent.

Rule - 17. Timelines for refund.--

Any refund of money along with the applicable interest and compensation, if any, payable by the promoter in terms of the Act or the rules and regulations made there under, shall be payable by the promoter to the allottee within fortyfive days from the date on which such refund along with applicable interest and compensation, if any, becomes due.

CHAPTER VII

SALARY AND ALLOWANCES OF CHAIRPERSON AND MEMBERS OF REAL ESTATE REGULATORY AUTHORITY

Rule - 18. Salaries and Allowances.--

(1) The salaries and allowances of the Chairperson and Members of the Real Estate Regulatory Authority shall be as follows, namely:

(a) the Chairperson of the Authority shall be paid a salary equivalent to that of the Chief Secretary of the State Government; and

(b) the Members of the Authority shall be paid a salary equivalent to Principal Secretary of the State Government.

(2) Dearness Allowance and City Compensatory Allowance. The Chairperson or the Member of the Authority shall be entitled to receive Dearness Allowance and other allowances at the rate as are admissible to the Chief Secretary of the State Government or Principal Secretary of the State Government respectively:

Provided that in case a person appointed as the Chairperson or a member is in receipt of any pension, the pay of such person shall be reduced by the gross amount of pension including any commuted portion thereof drawn by him:

Provided further that the Chairperson and other members shall be entitled to draw admissible allowance on the original basic pay before such fixation of pay.

(3) Leave.

(a) The Chairperson or a Member shall be entitled to thirty days of earned leave for every year of service. The payment of leave salary during the leave shall be as admissible to the Chief Secretary or the Principal Secretary as the case may be. The Chairperson or Member shall be entitled to encashment of fifty percent of earned leave to his credit at any time.

(b) Leave sanctioning authority. Leave sanctioning authority in case of,

(i) The Chairperson of the Authority, shall be the Minister in charge of the Housing Department of the State Government; and

(ii) The Members of the Authority, shall be the Chairperson

(4) (a) Travelling Allowance and Daily Allowance.

(i) The Chairperson and the Members while on tour (including the journey undertaken or any expiry of his term to proceed to his hometown) shall be entitled to travelling allowances, daily allowance, transportation of personal effects and other similar matters at the same rate as admissible to the Chief Secretary or the Principal Secretary of the State Government as the case may be;

(ii) The Chairperson and every Member shall be his own controlling officer in respect of his bills relating to travelling allowances and daily allowances; and

(iii) Domestic official tours: The Chairperson and a Member, while on tour, shall be entitled to the facility of government accommodation in the guest house or inspection bungalows run by the State Government or hotel accommodation in case Government accommodation is not available, as applicable to Chief Secretary or Principal Secretary of Government of Karnataka.

(b) Leave Travel Concession. The Chairperson and Members shall be entitled to Leave Travel Concession (L.T.C.) at the same rates as admissible to the Chief Secretary or the Principal Secretary to the Government as the case may be.

(5) Medical Facilities. The Chairperson and a Members shall be entitled to medical treatment and hospital facilities as provided to the members of Indian Administrative Service of the corresponding grade in the State Government.

(6) Official Visits Abroad. The Chairperson and a Members shall be entitled to undertake official visits abroad with the prior approval of the Government through Housing Department and after clearance from Ministry of External Affairs, Government of India. The daily allowance and provision of accommodation during the period of tour abroad shall be regulated in accordance with the State Government instructions as applicable to the Chief Secretary or the Principal Secretary respectively of the State Government.

(7) Conveyance facility. The Chairperson and a Member shall be entitled to conveyance facilities as admissible to Chief Secretary and Principal Secretary to the Government respectively.

(8) Accommodation to Chairperson and Members.

(a) The Chairperson of the Authority shall be entitled to residential accommodation as admissible to the Chief Secretary of the State Government;

(b) A Member shall be entitled to residential accommodation as admissible to the rank of Principal Secretary to the State Government drawing an equivalent pay. On demitting office, the Chairperson and Member shall be entitled to retention of residential accommodation for one month, on the same terms and conditions; and

(c) If the Chairperson or the Member has his own accommodation or residential house in Bengaluru and does not avail Government accommodation, then he is entitled to get house rent allowance admissible to the Chief Secretary to the Government and Principal Secretary to Government respectively.

(9) Telephone facilities. The Chairperson or Members of the Authority shall be entitled to telephone facilities as admissible to the Chief Secretary and Principal Secretary of the State Government respectively.

(10) Other allowance. The Chairperson and Members of the Authority shall be entitled to such other allowance as are applicable to Chief Secretary or Principal Secretary respectively in the State Government.

(11) Notwithstanding the provisions contained in this rule if the Chairperson or the Member is a serving officer of the State or Central Government, his entitlement shall be higher of those admissible to him under the applicable service rule.

Rule - 19. Tenure of office.--

(1) The Chairperson and every Member shall, unless removed from office under subsection (1) of section 26, hold office for a period not exceeding five years from the date he takes charge of the office in that capacity, or till the age of sixty five years, whichever is earlier.

(2) When the Chairperson is unable to discharge his functions owing to absence, illness or any other cause, the seniormost (in order of appointment) Member of the Real Estate Regulatory Authority holding office for the time being shall discharge the functions of the Chairperson until the day on which the Chairperson resumes the charge of his functions.

(3) If a vacancy occurs in the office of the Chairperson by reason of his death or resignation, the State Government shall nominate Senior most Member as per seniority of date of appointment to act as the Chairperson and the Member so nominated shall hold office of the Chairperson until the vacancy is filled by a fresh appointment under subsection (3) of Section 24 of the Act. Till that period the seniormost (in order of appointment) Member of the Real Estate Regulatory Authority holding office for the time being shall discharge the functions of the Chairperson until the day on which the Chairperson resumes the charge of his functions.

Rule - 20. Oath of Office and Secrecy.--

(1) Every person appointed to be Chairperson and Member shall, before entering upon their office, make and subscribe to an Oath of Office and of Secrecy in the Forms I and J, respectively.

(2) Before appointment, the Chairperson and the Member shall have to give an undertaking that he does not and will not have any such financial or other interest as is likely to affect prejudicially his

functions as such Chairperson or Member.

Rule - 21. Administrative powers of the Chairperson of the regulatory authority.-

Subject to the provisions of the Act, the administrative powers of the Chairperson of the regulatory authority shall include making decisions with regard to the following:

- (a) all matters pertaining to staff strength, wages and salaries structures, emoluments, perquisites and personnel policies;
- (b) all matters pertaining to creation and abolition of posts;
- (c) all matter pertaining to appointments, promotions and confirmation for all posts with prior approval of the State Government;
- (d) acceptance of resignations by any Member, officer or employee;
- (e) officiating against sanctioned posts;
- (f) authorization of tours to be undertaken by any Member, officer or employee within and outside India and allowance to be granted for the same;
- (g) all matters in relation to reimbursement of medical claims;
- (h) all matters in relation to grant or rejection of leaves.
- (i) permission for hiring of vehicles for official use;
- (j) nominations for attending seminars, conferences and training courses in India or abroad;
- (k) permission for invitation of guests to carry out training course;
- (l) all matters pertaining to staff welfare expenses;
- (m) sanction scrapping or writeoff of capital assets which due to normal wear and tear have become unserviceable or are considered beyond economical repairs;
- (n) all matters relating to disciplinary action against any Member, officer or employee; and
- (o) any other powers that may be required for the efficient functioning of the Authority and enforcement of the provisions of the Act and these Rules.

CHAPTER VIII

POWERS AND FUNCTIONS OF THE AUTHORITY

Rule - 22. Functioning of the Authority.--

- (1) The office of the regulatory authority shall be located at Bengaluru or at such place as may be

determined by the State Government by notification.

(2) The working days and office hours of the regulatory authority shall be the same as that of the State Government.

(3) The official common seal and emblem of the regulatory authority shall be such as the State Government may specify.

Rule - 23. Additional powers of the Authority.--

(1) In addition to the powers specified in subsection (2) of section 35 the regulatory authority shall have the following additional powers:

(a) require the promoter, allottee or real estate agent to furnish in writing such information or explanation or produce such documents within such reasonable time, as it may deem necessary;

(b) Requisitioning, subject to the provisions of sections 123 and 124 of the Indian Evidence Act, 1872 (Central Act 1 of 1872), any public record or document or copy of such record or document from any office.

(2) The regulatory authority may call upon such experts or consultants from the fields of economics, commerce, accountancy, real estate, competition, construction, architecture or engineering or from any other discipline as it deems necessary, to assist the regulatory authority in the conduct of any inquiry or proceedings before it.

(3) On receipt of the application in prescribed form and complete in all respects under section 4 read with rule 3 for registration of a project, the Authority may review the documents submitted along with the application under rule 3 and enquire, interalia, into the following matters and such other matters, as it may consider necessary, prior to grant of registration within the time specified under subsection (1) of section 5, namely:

(a) the nature of rights and interest of the promoter to the land which is proposed to be developed;

(b) extent and location of area of land proposed to be developed;

(c) layout plan of the project;

(d) financial, technical and managerial capacity of the promoter to develop the project;

(e) plan regarding the development works to be executed in the project; and

(f) Conformity of development of the project with neighboring areas.

(4) The Authority may in the interest of the allottees, enquire into the payment of amounts imposed as penalty, interest or compensation, paid or payable by the promoter, in order to ensure that the promoter has not:

(a) withdrawn the said amounts from the account maintained as provided under subclause (D) of clause (l) of subsection (2) of section 4; or

(b) used any amounts paid to such promoter by the allottees for the real estate project for which the penalty, interest or compensation is payable, or any other real estate project;

(c) Recovered the amounts paid as penalty, fine or compensation from the allottees of the relevant real estate project or any other real estate project.

Rule - 24. Manner of recovery of interest, penalty and compensation.--

Subject to the provisions of subsection (1) of section 40, the recovery of the amounts due as arrears of land revenue shall be carried out in the manner provided in the Karnataka Land Revenue Act, 1964 and the rules made there under.

Rule - 25. Manner of implementation of order, direction or decisions of the adjudicating officer, the Authority or the Appellate Tribunal.--

For the purpose of subsection (2) of section 40, every order passed by the adjudicating officer, regulatory authority or Appellate Tribunal, as the case may be, under the Act or the rules and regulations made thereunder, shall be enforced by the adjudicating officer, regulatory authority or the Appellate Tribunal in the same manner as if it were a decree or order made by the principal civil court in a suit pending therein and it shall be lawful for the adjudicating officer, regulatory authority or Appellate Tribunal, as the case may be, in the event of its inability to execute the order, send such order to the principal civil court, to execute such order either within the local limits of whose jurisdiction the real estate project is located or in the principal civil court within the local limits of whose jurisdiction the person against whom the order is being issued, actually and voluntarily resides, or carries on business, or personally works for gain.

CHAPTER IX

CONDITIONS OF SERVICE OF OFFICERS AND OTHER EMPLOYEES OF THE AUTHORITY

Rule - 26. Categories of Officers and employees of the Authority and pay scales.--

The nature and categories of officers and employees of the Authority shall be recommended by the Authority for consideration of the State Government which shall be approved with or without modifications, as the case may be, by the State Government.

Rule - 27. Conditions of service.--

(1) The conditions of service of the officers and employees of the Authority and any other category of employees in the matter of pay, allowances, leave, joining time, joining time pay, age of superannuation and other conditions of service shall be regulated in accordance with such rules and regulations as are, from time to time, applicable to officers and employees of the State Government and drawing the corresponding scales of pay;

Provided that the provisions of the Karnataka Civil Services (Classification, Control and Appeal) Rules, 1957 shall apply to the officers and employees of the Authority subject to modification specified in the schedule to these rules.

(2) Consultants or experts may be engaged by the Authority to facilitate its discharge of functions. The consultants or experts shall be paid a monthly honorarium as may be determined by the State Government from time to time.

(3) The consultants or experts shall not be deemed to be regular members of the Staff borne on the establishment of the Authority. The consultants or experts may be appointed for tenure of one year, extendable on year to year basis.

(4) The term of the appointment of consultants or experts may be terminated by the Authority by serving one months notice.

(5) The State Government shall have powers to relax the provisions of any of these rules in respect of any class or category of officers or employees or consultants and experts as the case may be for the reasons recorded in writing.

CHAPTER X

REAL ESTATE APPELLATE TRIBUNAL

Rule - 28. Manner of Selection of Member of the Appellate Tribunal:--

(1) As and when vacancies of a Member in the Appellate Tribunal exist or arise, or are likely to arise, the Government of Karnataka may make a reference to the Selection Committee in respect of the vacancies to be filled.

(2) The Chairperson of the Appellate Tribunal shall be appointed by the State Government in consultation with the Chief Justice of High Court of Karnataka under provisions of sub section(2) of Section 46.

(3) For appointment of Members of the Appellate Tribunal, the State Government shall expeditiously constitute a Selection Committee to select suitable persons for appointment as Members of the Tribunal. The Selection Committee shall consist of the following members, namely:

(a) Chief Justice of High Court of Karnataka or his nominee shall be the Chairman;

(b) the Additional Chief Secretary or the Principal Secretary or the Secretary to Government, Law Department of the State Government shall be the Member; and

(c) the Additional Chief Secretary or the Principal Secretary or the Secretary of Housing Department of the State Government shall be the Member and the Convener of the Selection Committee.

(4) The Selection Committee shall normally hold its meetings at Bengaluru or at such places, as may be authorised by the Chairman by recording the reasons for the change of the venue of such meetings.

(5) The Notice or Agenda, as the case maybe, for the meeting of the Selection Committee shall be issued in advance. The date and venue for the meeting shall be fixed with the convenience of the Chairman of the Selection Committee.

(6) The Selection Committee constituted under subrule (3) shall devise its own procedure as it deemed fit including the appointment of a Search Committee and may lay down guidelines and procedure to invite applications from the eligible persons as per qualification specified under Section 46. The Selection Committee shall prepare a panel of names possessing the requisite qualification and experience those who are suitable for consideration for appointment as Members of the Appellate Tribunal.

(7) The Selection Committee shall thereafter make its recommendation to the Government of Karnataka within a period of not exceeding sixty days from the date of reference made by the Government under subrule(3) for consideration in the form of a panel of not more than three persons in the order of preference separately for the post of vacancy or vacancies referred by the State Government.

(8) The State Government shall within thirty days from the date of the recommendation made by the Selection committee, appoint one out of penal of three persons name for the post of vacancy or vacancies of the Members of the Appellate Tribunal, as the case may be.

Rule - 29. Procedure for inquiry of the charges against the Chairperson or Member of the Regulatory Authority or the Appellate Tribunal.--

(1) In the event of the Government of Karnataka becoming aware of occurrence of any of the circumstances specified in clause (d) or clause (e) of subsection (1) of section 26, in case of a Chairperson or Member of the Regulatory Authority or as specified under subsection (1) of section 49 in case of a Chairperson or Member of the Appellate Tribunal, by receipt of a complaint in this regard or suo motu, as the case may be, the State Government shall make a preliminary scrutiny with respect to such charges against the Chairperson or any Member of the regulatory authority or Appellate Tribunal, as the case may be.

(2) If, on preliminary scrutiny, the State Government considers it necessary to investigate into the allegation, it shall place the complaint, if any, together with supporting material as may be available, before a Judge of the High Court designated for this purpose by the Chief Justice of the High Court (hereinafter referred to as the designated Judge).

(3) The State Government shall forward to the designated Judge, copies of

(a) the statement of charges against the Chairperson or Member of the regulatory authority or Appellate Tribunal, as the case may be; and

(b) Material documents relevant to the inquiry.

(4) The Chairperson or Member of the Regulatory Authority or Appellate Tribunal, as the case may be, shall be given a reasonable opportunity of being heard with respect to the charges within the time period as may be specified in this behalf by the designated Judge.

(5) Where it is alleged that the Chairperson or Member Appellate Tribunal is unable to discharge the

duties of his office efficiently due to any physical or mental incapacity and the allegation is denied, the designated Judge may arrange for the medical examination of the Chairperson or Member of the Appellate Tribunal.

(6) After the conclusion of the investigation, the Judge shall submit his report to the appropriate Government stating therein his findings and the reasons thereof on each of the articles of charges separately with such observations on the whole case as he thinks fit.

(7) Thereafter, the State Government shall in consultation with the Chief Justice of the High Court Karnataka decide to either remove or not to remove the Chairperson or Member of the Regulatory Authority or Appellate Tribunal, as the case may be.

Rule - 30. Powers of the designated Judge.--

(1) The designated Judge shall not be bound by the procedure laid down by the Code of Civil Procedure, 1908 (Central Act 5 of 1908), but shall be guided by the principles of natural justice and shall have power to regulate his own procedure including the fixing of places and time of the enquiry.

(2) The designated Judges shall have, for the purposes of discharging his functions under these rules, the same powers as vested in a civil court under the Code of Civil Procedure, 1908 (Central Act 5 of 1908), while trying a suit, in respect of the following matters, namely:

(a) summoning and enforcing the attendance of any person and examining him on oath;

(b) requiring the discovery and production of document;

(c) receiving evidence on affidavits; and

(d) subject to the provisions of sections 123 and 124 of the Indian Evidence Act, 1872 (Central Act 1 of 1872), requisitioning any public record or document or copy of such record or document from any office.

Rule - 31. Salary and allowances payable and other terms and conditions of service of Chairperson and Members of the Appellate Tribunal.--

(1) The salaries and allowances payable to the Chairperson and Members of the Appellate Tribunal shall be as follows, namely:

(a) the Chairperson shall be paid a monthly salary equivalent to the last drawn salary by such person, as a Judge of a High Court;

(b) the Member shall be paid a monthly salary equivalent to the last drawn salary at the post held by such person, prior to his appointment as a Member of the Appellate Tribunal; and

(c) the Member, who is not a servant of the Government, shall be paid a monthly salary equivalent to the Additional Secretary to the Government of India;

(2) The Chairperson and every other Members shall be entitled to thirty days of earned leave for every year of service.

(3) The other allowances and conditions of service of the Chairperson and the wholetime Member shall be as admissible to a Judge of High Court or Additional Secretary to Government of India as the case may be

Provided that such entitlement shall not be less than what he is otherwise eligible in case of serving Government servant.

(4) The term of office of the Chairperson and the Members shall be such as provided in Section 47.

Rule - 32. Retirement from Government Service.--

A person in the service of the Government, on his selection as a Member, shall have to retire from service before entering upon his office as a Member.

Rule - 33. Oath of Office and Secrecy.--

Every person appointed as the Chairperson or a Member shall, before entering upon his office, make and subscribe an oath of office and secrecy, in FormK and FormL respectively annexed to these rules.

Rule - 34. Declaration of financial or other interest.--

Every person, on his appointment as the Chairperson or Member, as the case may be, shall have to give an undertaking that he does not and will not have any such financial or other interest as is likely to affect prejudicially his functions as such Chairperson or Member.

Rule - 35. Residuary provision.--

Matters relating to the terms and conditions of service of the Chairperson or Member with respect to which no express provision has been made in these rules, shall be referred by the Appellate Tribunal to the State Government for its decision.

Rule - 36. Categories of Officers and employees of the Tribunal.--

The nature and categories of officers and employees of the Tribunal shall be recommended by the Tribunal for consideration of the State Government which shall be approved with or without modifications, as the case may be, by the State Government.

Rule - 37. Conditions of service.--

The conditions of service of the officers and employees of the Appellate Tribunal and in any other category of employees in the matter of pay, allowances, leave, joining time, joining time pay, provident fund, age of superannuation, pension and retirement benefits and other conditions of service, shall be regulated in accordance with such rules and regulations as are, from time to time, applicable to officers and employees of the State Government and drawing the corresponding scales of pay.

Provided that the provisions of the Karnataka Civil Services (Classification, Control and Appeal) Rules, 1957 shall apply to these officers and employees subject to modifications specified in the schedule.

Rule - 38. Additional powers of the Appellate Tribunal.--

The Appellate Tribunal may call upon such experts or consultants from the fields of economics, commerce, accountancy, real estate, competition, construction, architecture or engineering or from any other discipline as it deems necessary, to assist the Appellate Tribunal in the conduct of any inquiry or proceedings before it.

Rule 39. Administrative powers of the Chairperson of the Appellate Tribunal.--

The administrative powers of the Chairperson of the Appellate Tribunal shall include making decisions with regard to the following, namely:

- (a) all matters pertaining to staff strength, wages and salaries structures, emoluments, perquisites and personnel policies;
- (b) all matters pertaining to creation and abolition of posts;
- (c) all matter pertaining to appointments, promotions and confirmation for all posts with prior approval of the State Government;
- (d) acceptance of resignations by any Member, officer or employee;
- (e) officiating against sanctioned posts;
- (f) authorization of tours to be undertaken by any Member, officer or employee: within and outside India and allowance to be granted for the same;
- (g) all matters in relation to reimbursement of medical claims;
- (h) all matters in relation to grant or rejection of leaves.
- (i) permission for hiring of vehicles for official use;
- (j) nominations for attending seminars, conferences and training courses in India or abroad;
- (k) permission for invitation of guests to carry out training course;
- (l) all matters pertaining to staff welfare expenses;
- (m) sanction scrapping or writeoff of movable assets which due to normal wear and tear have become unserviceable or are considered beyond economical repairs;
- (n) all matters relating to disciplinary action against any member, officer or employee; and
- (o) any other powers that may be required for the efficient functioning of the Appellate Tribunal and enforcement of the provisions of the Act and these rules.

Rule 40. Form for filing Appeal and the fees payable.-

- (1) Every appeal filed under sub-section (1), of section 44 shall be accompanied by a fee of rupees one thousand in the form of a demand draft drawn on a nationalized bank or a co-operative Bank in favor of the Appellate Tribunal and payable at the main branch of that Bank at the station where the seat of the said Appellate Tribunal is situated.
- (2) Every appeal shall be filed in Form-M along with the following documents, namely:-
- (a) an attested true copy of the order against which the appeal is filed;
 - (b) copies of the documents relied upon by the appellant and referred to in the appeal; and
 - (c) an index of the documents.
- (3) Procedure for filing the appeal shall be as decided by the Appellate Tribunal.

CHAPTER XI

OFFENCES AND PENALTIES

Rule - 41. Terms and conditions and the fine payable for compounding of offence.--

- (1) The court shall, for the purposes of compounding any offence specified under section 70, accept a sum of money as specified in the Table below:

Punishment	compounding amount
Imprisonment under sub section (2) of section 59	Ten percent of the estimated cost of the real estate project
Imprisonment under section 64	Ten percent of the estimated cost of the real estate project
Imprisonment under section 66	Ten percent of the estimated cost of the plot, apartment or building, as the case may be, of the real estate project, for which the sale or purchase has been facilitated
Imprisonment under section 68	Ten percent of the estimated cost of the plot, apartment or building, as the case may be

- (2) On payment of the sum of money in accordance with the table above, any person in custody in connection with that offence shall be set at liberty and no proceedings shall be instituted or continued against such person in any court.
- (3) The acceptance of the sum of money for compounding an offence in accordance with the table above, by the Court shall be deemed to amount to an acquittal within the meaning of section 300 of the Code of Criminal Procedure, 1973 (Central Act 2 of 1974).
- (4) The promoter, allottee or real estate agent, as the case may be, shall comply with the

orders of the regulatory authority or the Appellate Tribunal, within the period specified by the court, which shall not be more than thirty days from the date of compounding of the offence.

CHAPTER-XII

MISCELLANEOUS

Rule - 42. Interpretation.--

If any question arises relating to the interpretation of these rules or when express provision has not been made in these rules about a particular matter, the same shall be referred to the State Government for its decision and decision of the State Government shall be binding.

Rule - 43. Residuary provision.--

Matters relating to the terms and conditions of service of the Chairperson or a Member with respect to which no express provision has been made in these rules, shall be referred by the Authority to the State Government for its decision, and the decision of the State Government thereon shall be applicable to the Chairperson or Member, as the case may be.

Rule - 44. Power to relax.--

The State Government shall have power to relax any provision of these rules in respect of Chairperson or any other Member for reasons to be recorded.

CHAPTER XIII

BUDGET AND REPORT

Rule - 45. Budget, accounts and audit.--

The regulatory authority shall prepare a budget, maintain proper accounts and other relevant records and prepare an annual statement of accounts as provided in section 77 in Form-N.

Rule - 46. Report and Returns.--

The regulatory authority shall prepare its annual report as provided in section 78 in Form-O.

By order and in the name of the Governor of Karnataka

Sameer madiman

Under Secretary-1(I/C)

Housing Department